

2. **Verify Terms of Issue:** He should ensure that the terms of the issue have been complied with.
3. **Examine Debenture Trust Deed:** He should examine the Debentures Trust Deed to know the amount of debentures issued and securities offered and he should obtain a certificate from the debenture holder to confirm the debenture amount.
4. **Redemption of Debentures:** He should make an inquiry regarding Debenture redemption and verify the Articles of Association for the Debenture redemption fund.
5. **Issue at Premium or Discount:** He should examine whether premium or discount on issue of Debentures are properly disclosed in the Balance Sheet.
6. **Compare Register of Charges and Register of Debenture Holders:** He should compare the register of charges and register of debenture holders and check whether it is recorded correctly and verify that the assets mortgaged or charged are clearly indicated in the Balance Sheet.

6.4 Verification of Long Term Loans

Loans or Borrowings of a concern may be either secured or unsecured or may be for a short or long period.

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